



Week Ending _____

Job _____

#50

What Does An Accident Cost?

Every accident has something in common: It costs everyone involved something. There are direct and indirect costs, both to the employee who was injured and the employer who eventually will pay for the accident. The costs are more than dollars.

Guide for Discussion

Employee Direct Costs

Lost regular wages and overtime

Employee Indirect Costs

Mental anguish, physical pain and suffering

Decreased active participation with their family and friends (It's tough to be at a ball game when laying up in a hospital bed) Inability to be productive on or off the job

Employer Direct Costs

Workers' Compensation claim

Medical bills

Associated legal and possible increased insurance costs

Uninsured property damage costs

Employer Indirect Costs

Loss of valuable employee with a result of lost efficiency on the job

Managerial and clerical time expended to handle injury claims

Time loss wages paid with no work performed

Hiring and training replacement

Damaged or destroyed equipment, materials or tools

Additional Discussion Notes:

Remember: The indirect (or hidden) cost in an accident is between three and ten times the actual cost of the claim. But it is not the costs, direct or indirect, that totals the most. More often than not it is the loss of a valuable co-worker or member of a family that causes the most problems for our company.